

API No. <u>42-405-30920</u> Drilling Permit # <u>913953</u> SWR Exception <u>(R37)</u>		RAILROAD COMMISSION OF TEXAS OIL & GAS DIVISION APPLICATION FOR PERMIT TO DRILL, RECOMPLETE, OR RE-ENTER <i>This facsimile W-1 was generated electronically from data submitted to the RRC.</i> <i>A certification of the automated data is available in the RRC's Austin office.</i>				FORM W-1 07/2004 Permit Status: Approved	
1. RRC Operator No. 103154		2. Operator's Name (as shown on form P-5, Organization Report) APEX NATURAL GAS, LLC			3. Operator Address (include street, city, state, zip): 1100 LOUISIANA ST SUITE 3800 HOUSTON, TX 77002-0000		
4. Lease Name POOL A		5. Well No. 1HB					
GENERAL INFORMATION							
6. Purpose of filing (mark ALL appropriate boxes): ☒ New Drill ☐ Recompletion ☐ Reclass ☐ Field Transfer ☐ Re-Enter ☒ Amended ☐ Amended as Drilled (BHL) (Also File Form W-1D)							
7. Wellbore Profile (mark ALL appropriate boxes): ☐ Vertical ☒ Horizontal (Also File Form W-1H) ☐ Directional (Also File Form W-1D) ☐ Sidetrack							
8. Total Depth 14500		9. Do you have the right to develop the minerals under any right-of-way ? ☒ Yes ☐ No		10. Is this well subject to Statewide Rule 36 (hydrogen sulfide area)? ☐ Yes ☒ No			
SURFACE LOCATION AND ACREAGE INFORMATION							
11. RRC District No. 06		12. County SAN AUGUSTINE		13. Surface Location ☒ Land ☐ Bay/Estuary ☐ Inland Waterway ☐ Offshore			
14. This well is to be located <u>4.7</u> miles in a <u>SW</u> direction from <u>San Augustine</u> which is the nearest town in the county of the well site.							
15. Section	16. Block	17. Survey PHELPS, A		18. Abstract No. A-223	19. Distance to nearest lease line: ft.	20. Number of contiguous acres in lease, pooled unit, or unitized tract: 2535.65	
21. Lease Perpendiculars: <u>905</u> ft from the <u>S</u> line and <u>1119</u> ft from the <u>E</u> line. 22. Survey Perpendiculars: <u>620</u> ft from the <u>N</u> line and <u>303</u> ft from the <u>E</u> line.							
23. Is this a pooled unit? ☐ Yes ☒ No		24. Unitization Docket No:		25. Are you applying for Substandard Acreage Field? ☐ Yes (attach Form W-1A) ☒ No			
FIELD INFORMATION List all fields of anticipated completion including Wildcat. List one zone per line.							
26. RRC District No.	27. Field No.	28. Field Name (exactly as shown in RRC records)		29. Well Type	30. Completion Depth	31. Distance to Nearest Well in this Reservoir	
06	16032300	CARTHAGE (HAYNESVILLE SHALE)		Gas Well	14500	1.00	
BOTTOMHOLE LOCATION INFORMATION is required for DIRECTIONAL, HORIZONTAL, AND AMENDED AS DRILLED PERMIT APPLICATIONS (see W-1H attachment)							
Remarks See W1 Comments attached				Certificate: I certify that information stated in this application is true and complete, to the best of my knowledge. Gayle Foord, Regulatory Compliance Manager Name of filer <u>(832)399-0170</u> Phone Date submitted <u>Jul 22, 2026</u> Date submitted <u>g.foord@apexng.com</u> E-mail Address (OPTIONAL)			
RRC Use Only Data Validation Time Stamp: Aug 4, 2026 2:04 PM('As Approved' Version)							

Permit Status: **Approved**

The RRC has not approved this application. Duplication or distribution of information is at the user's own risk.

**RAILROAD COMMISSION OF TEXAS
OIL & GAS DIVISION**

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Permit # **913953**

Approved Date: **Aug 04, 2026**

1. RRC Operator No. 103154	2. Operator's Name (exactly as shown on form P-5, Organization Report) APEX NATURAL GAS, LLC	3. Lease Name POOL A	4. Well No. 1HB
Lateral Drainhole Location Information			
5. Field as shown on Form W-1 CARTHAGE (HAYNESVILLE SHALE) (Field # 16032300, RRC District 06)			
6. Section	7. Block	8. Survey RUSSELL, R B	9. Abstract 234
10. County of BHL SAN AUGUSTINE			
11. Terminus Lease Line Perpendiculars 158 ft. from the NW line. and 756 ft. from the NE line			
12. Terminus Survey Line Perpendiculars 728 ft. from the NE line. and 1677 ft. from the W line			
13. Penetration Point Lease Line Perpendiculars 513 ft. from the NW line. and 2226 ft. from the E line			

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W-1 Comments

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[Jul 22, 2026 3:45 PM]: Commission Staff expresses no opinion as to whether a 100% ownership interest in each of the leases alone or in combination with a "production sharing agreement" confers the right to drill across lease/unit lines or whether a pooling agreement is also required. However, until that issue is directly addressed and ruled upon by a Texas court of competent jurisdiction it appears that a 100% interest in each of the leases and a production sharing agreement constitute a sufficient colorable claim to the right to drill a horizontal well as proposed to authorize the removal of the regulatory bar and the issuance of a drilling permit by the Commission, assuming the proposed well is in compliance with all other relevant Commission requirements.

Issuance of the permit is not an endorsement or approval of the applicant's stated method of allocating production proceeds among component leases or units. All production must be reported to the Commission as production from the lease or pooled unit on which the wellhead is located and reported production volume must be determined by actual measurement of hydrocarbon volumes prior to leaving that tract and may not be based on allocation or estimation. Payment of royalties is a contractual matter between the lessor and lessee. Interpreting the leases and determining whether the proposed proceeds allocation comports with the relevant leases is not a matter within Commission jurisdiction but a matter for the parties to the lease and, if necessary, a Texas court of competent jurisdiction.

The foregoing statements are not, and should not be construed as, a final opinion or decision of the Railroad Commission.; [FILER Jul 22, 2026 3:50 PM]: AMENDING LATERAL PATH. PLEASE SEE PLAT FOR NPZ DETAILS.; [RRC STAFF Jul 28, 2026 9:52 AM]: There have been problems identified with this permit (see problem letter attachment). Notification sent.; [RRC STAFF Aug 4, 2026 9:00 AM]: Updated lease line calls per plat.; [RRC STAFF Aug 4, 2026 9:01 AM]: Problems identified with this permit are resolved.; [RRC STAFF Aug 4, 2026 9:01 AM]: Uploaded revised plat.; [RRC STAFF Aug 4, 2026 2:04 PM]: Exception Admin Approved. 37(h)(2)(B). Own Offset.